Slide 01

Bright Coffee Shop

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Revenue Analysis: Store Location and Time Classification

- Strong growth period from January to June 2026

- All locations (Astoria, Hell's Kitchen, and Lower Manhattan) experienced a significant upward surge starting in April

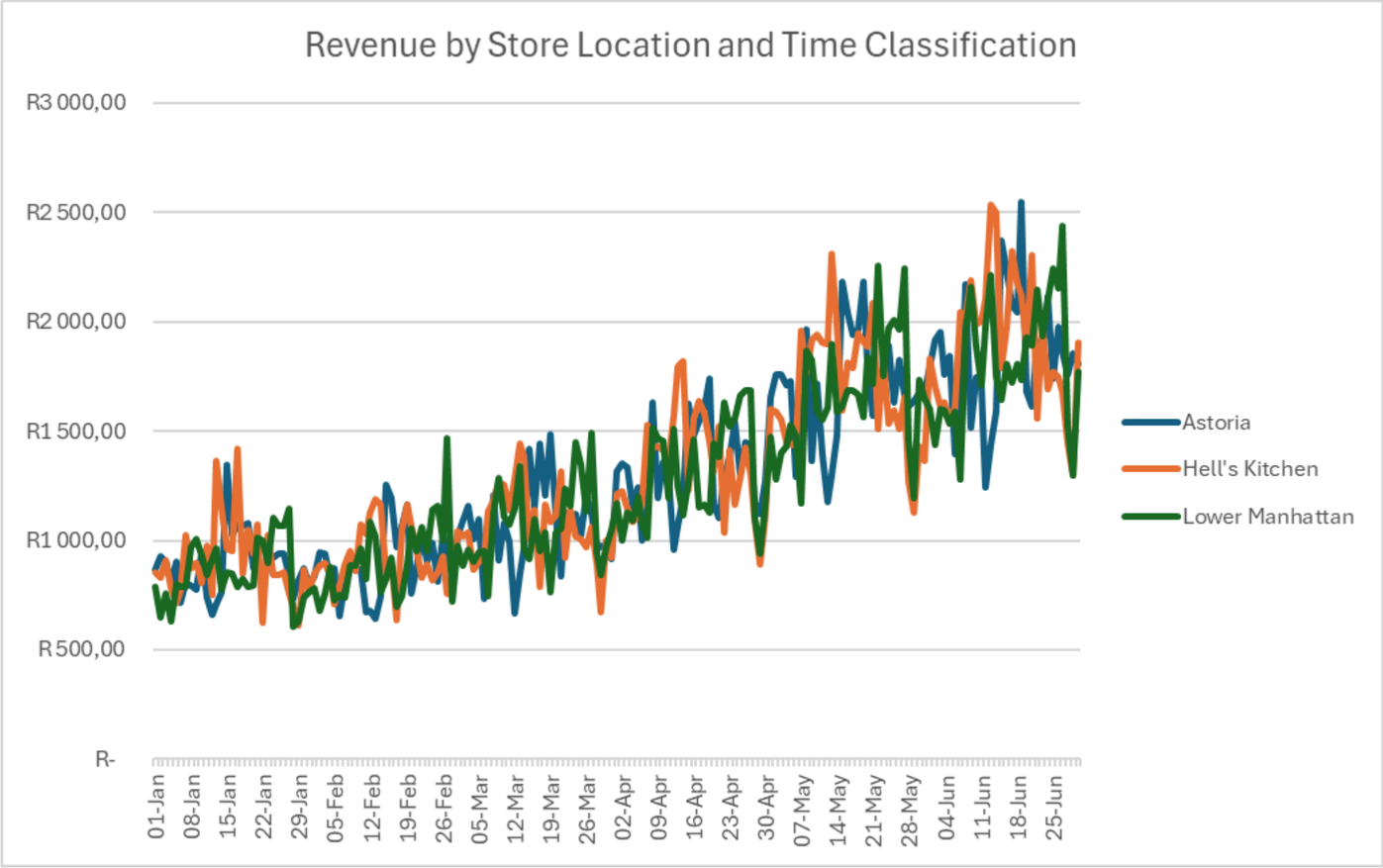
- **Strategic Recommendations**

1. Location-Specific Optimization

- Hyper-Local Marketing: Launch location-specific social media ads for the Lower Manhattan branch to increase its baseline daily revenue.

2. Revenue Stabilization

- Mid-Week "Happy Hours": To combat the high daily volatility (the "spikes" in the data), introduce loyalty rewards or discounts during the specific 30-60 minute slow intervals identified in the Databricks analysis.



Revenue: Spend Bucket and Product Type

- The current revenue model for Bright Coffee Shop relies almost exclusively on high-volume, low-value transactions ("Low Spenders"), primarily driven by Barista Espresso and Specialty Teas. While this provides a steady income stream, the business is currently failing to capture "Medium" or "Big" spenders, indicating a lack of successful upselling or premium product adoption.

Strategic Recommendations

1. Transition "Low Spenders" to "Medium Spenders"

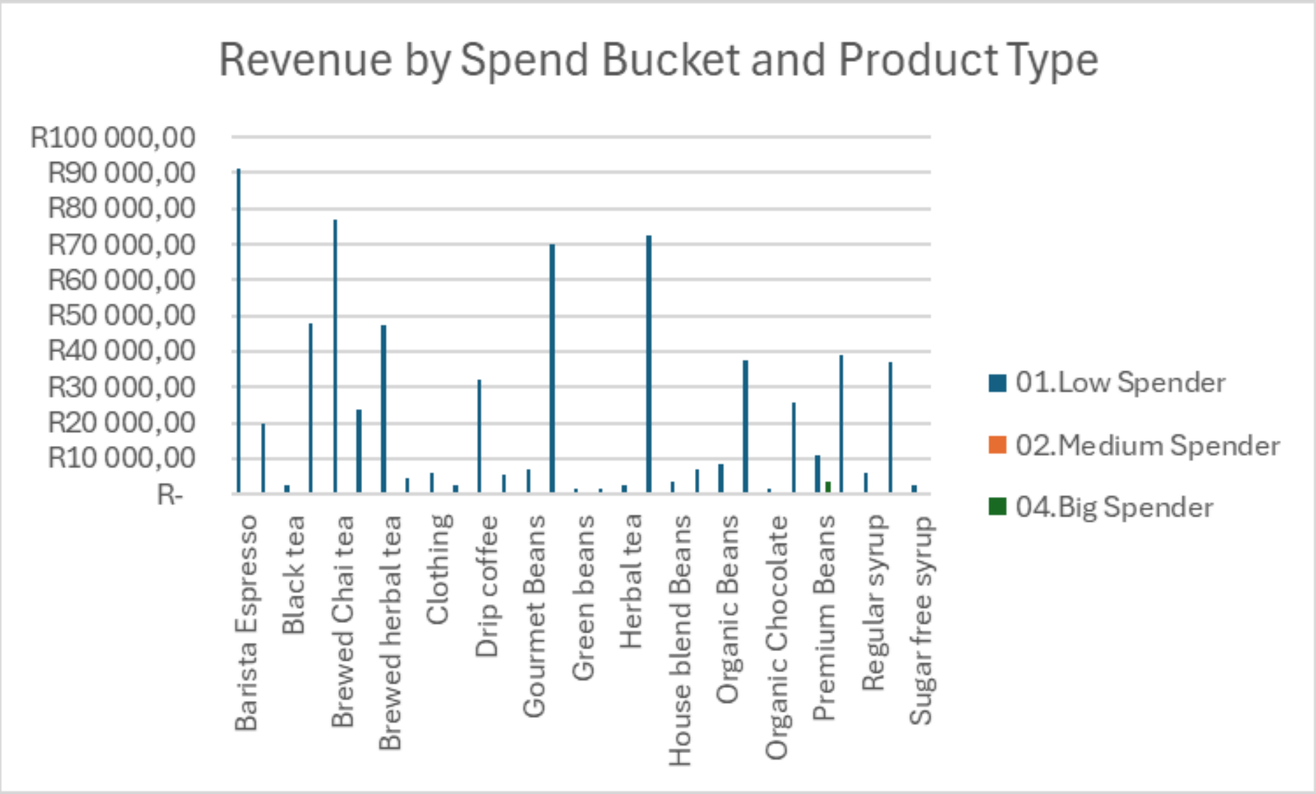
- Bundling Strategy: Since Barista Espresso and Teas are popular, create "Combo Deals" (e.g., a coffee plus a pastry or gourmet bean sample) to increase the average transaction value above the "Low Spender" threshold.

2 . Premium Product Push

- Gourmet & Premium Beans: Since "Gourmet Beans" already perform well among low spenders, introduce a "Premium Coffee Tasting" flight or subscription service specifically designed to appeal to the "Big Spender" demographic.

3. Loyalty & Retention

- Tiered Rewards: Implement a loyalty program where customers earn more points for "Premium" purchases, specifically targeting the conversion of frequent low-spenders into consistent medium-spenders.



Revenue: Spend Bucket and Month Name

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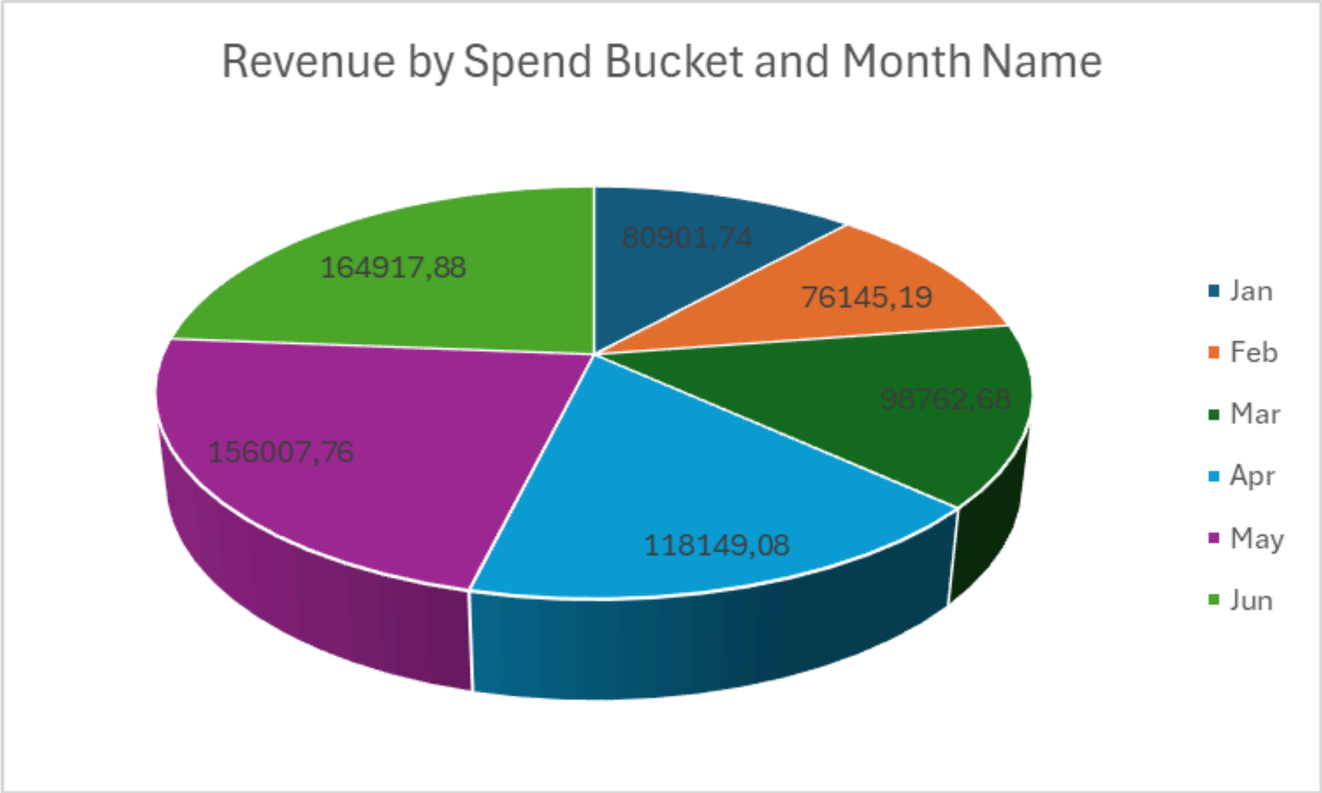

- The business is currently in a high-growth phase. While the first quarter (Jan–Mar) averaged roughly R85 270 per month, the second quarter (Apr–Jun) saw an explosion in sales, averaging roughly R146 358 per month. This represents a 71% increase in average monthly revenue between Q1 and Q2.

Strategic Recommendations

Seasonal Preparation & Scaling

- Resource Allocation: Since June is the peak month, use this data to justify higher staffing levels and increased inventory orders for the upcoming months to avoid stockouts during high-demand periods.
- Marketing Re-investment: With the extra capital generated in June, consider launching a new campaign in July to ensure the upward trend doesn't plateau.

Revenue: Day Name and Product Detail

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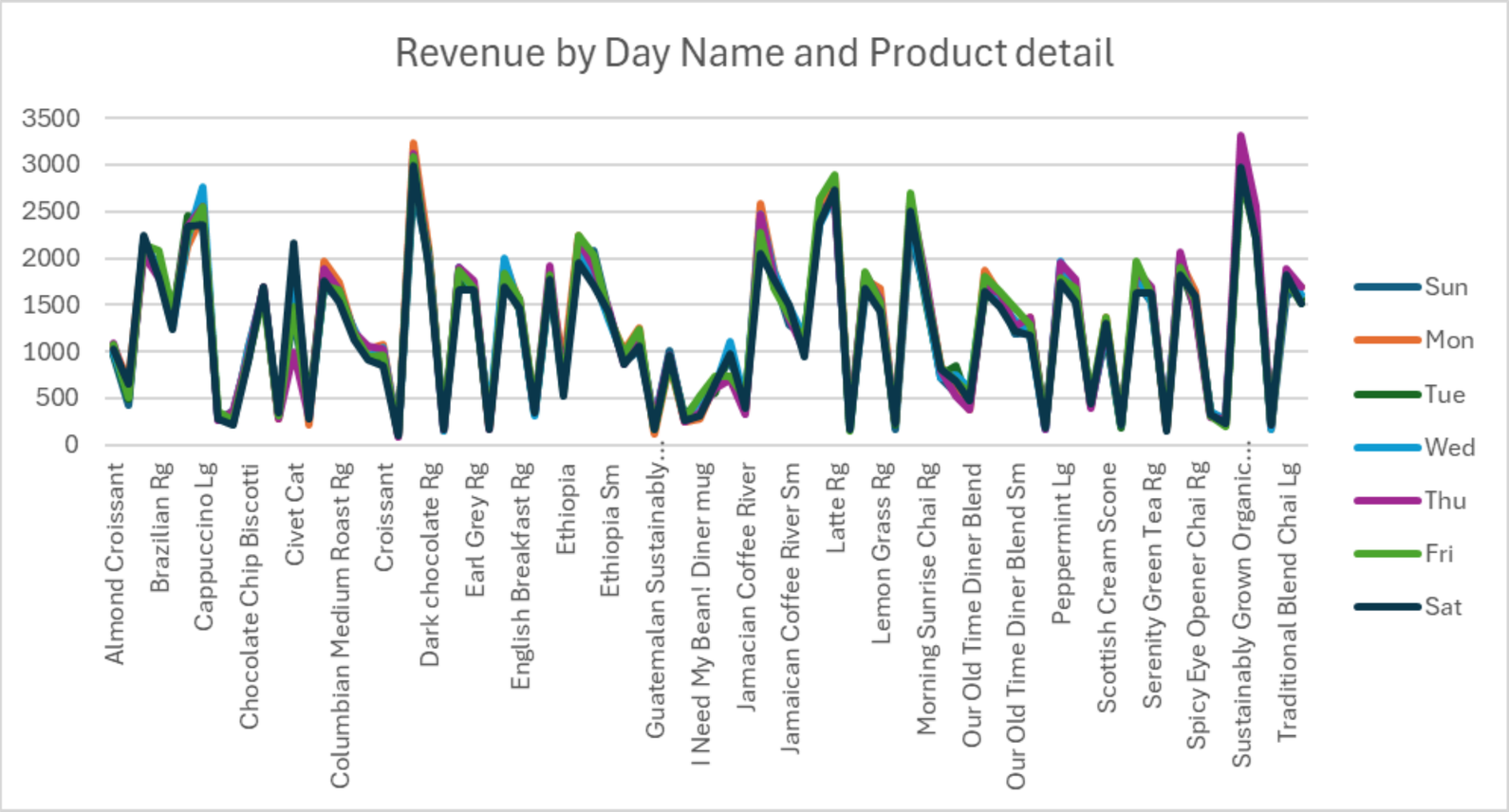
- The coffee shop has a highly successful core "top tier" of organic and dark chocolate products that drive the bulk of daily revenue. While performance is remarkably stable across the week for most items, there are clear "laggards" in the pastry and small-size coffee categories that contribute very little to the daily bottom line.

Strategic Recommendations

1. Inventory & Supply Chain Priority
   - Never-Out-of-Stock Policy: Ensure that Sustainably Grown Organic and Dark Chocolate Rg are prioritized in the supply chain, as even a single day of stockouts for these items would result in a major revenue hit.
2. Product Mix Optimization
   - Menu Rationalization: Consider removing or replacing the lowest performers (e.g., Chocolate Chip Biscotti or Scottish Cream Scone) with new seasonal items to see if a higher baseline can be achieved.



Revenue: Store location and Product Type

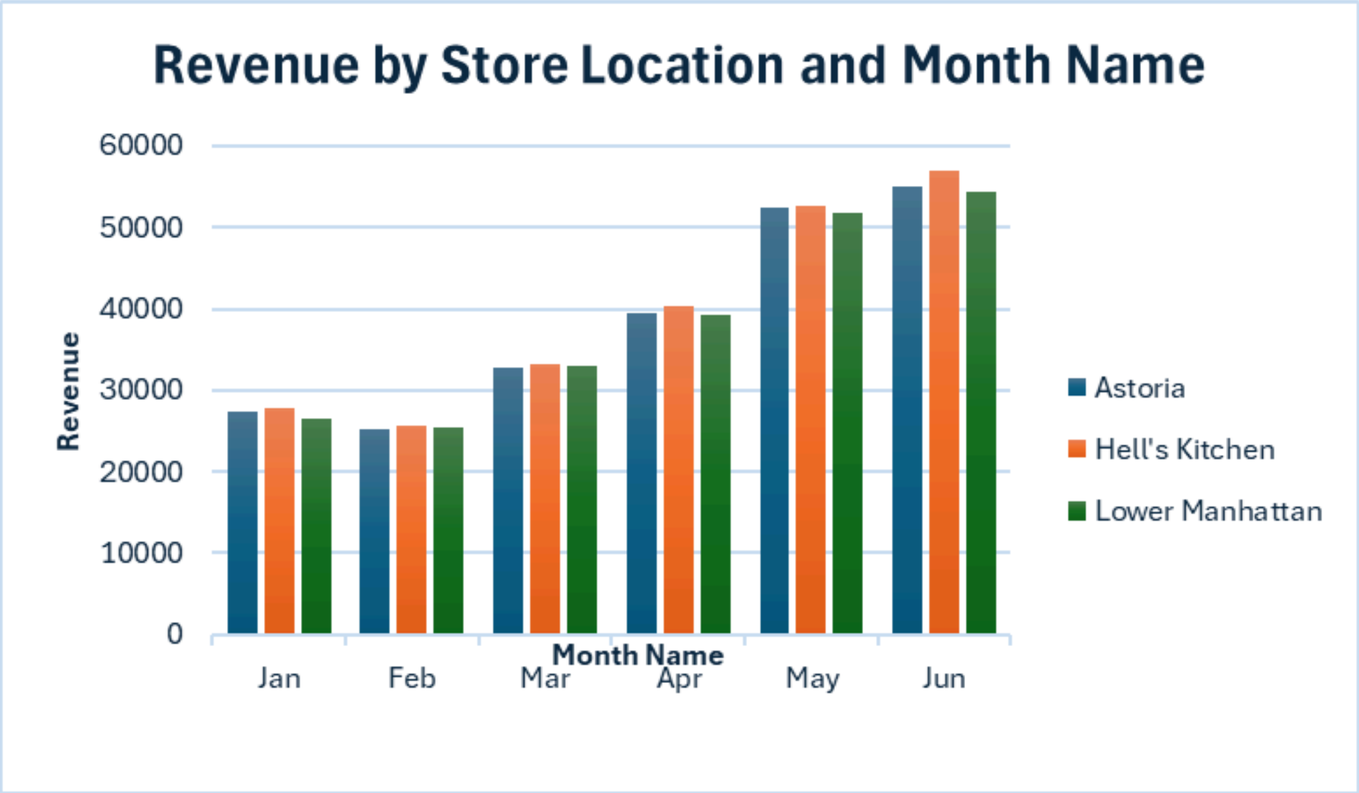
- The business relies heavily on Barista Espresso and Teas to drive the bulk of its revenue. While total revenue is distributed relatively evenly across the three locations, Astoria shows a clear edge in tea and bean sales, whereas Hell's Kitchen dominates the core espresso market. Low-performing items like specialty syrups and green beans are underutilized across all branches.

Strategic Recommendations

1. Tailor Inventory to Location Strengths
   - Astoria Focus: Increase tea inventory and promote "Bean of the Month" specials in Astoria, as this location has the highest customer appetite for these categories.
2. Product Optimization & Marketing
   - Upsell Syrups: Since Regular syrup and Sugar free syrup have low revenue, introduce "Signature Lattes" that specifically include these syrups to increase their attachment rate to Espresso sales.
3. Performance Benchmarking
   - Share Best Practices: Have the Astoria manager share tea-selling techniques with the Lower Manhattan team to help boost their lower Brewed Chai and Herbal tea numbers

Revenue: Store location and Month Name

Slide 08



- The business is experiencing rapid scaling. Between January and June, total monthly revenue per store has effectively doubled. The consistency in growth across Astoria, Hell's Kitchen, and Lower Manhattan suggests that the coffee shop has successfully found a product-market fit that is resonating across different neighborhoods.

Strategic Recommendations

1. Staffing and Inventory Scaling
   - Prepare for Continued Growth: Based on the trajectory from May to June, the CEO should authorize additional hiring for the third quarter to maintain service quality as volume increases.
2. Location-Specific Strategies
   - Hell's Kitchen Loyalty: Implement a "Frequent Flyer" program in the high-volume Hell's Kitchen branch to lock in the large customer base established in Q2.

Strategic Recommendations

1. Location-Specific Optimization

Replicate Success: Conduct a "Best Practice" audit at the Astoria location to identify specific menu items or service standards that can be implemented in Lower Manhattan to close the revenue gap.

Hyper-Local Marketing: Launch location-specific social media ads for the Lower Manhattan branch to increase its baseline daily revenue.

2. Revenue Stabilization

Mid-Week "Happy Hours": To combat the high daily volatility (the "spikes" in the data), introduce loyalty rewards or discounts during the specific 30-60 minute slow intervals identified in the Databricks analysis.

Subscription Models: Implement a "Coffee Club" loyalty program to encourage consistent daily visits, smoothing out the revenue dips seen in the current trends.

3. Product & Inventory Strategy

Stock Alignment: Ensure high-performing product categories (to be confirmed via the Excel Pivot tables) are never out of stock during the June peak levels.

Bundle Slow Movers: Promote underperforming products by bundling them with best-sellers during the morning peak intervals.

THANK YOU